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MIND-BOGGLING VALUATIONS.

Much-awaited listings. Stocks getting pummelled. Anyone tracking the Indian stock markets will tell you that this has been the usual story for new-age companies that were listed over the past year or so. While the listing gave the start-ups' existing investors a chance to sell their holdings and get high returns, the stock price crash thereafter left retail investors frustrated.

Amid all this, old-economy or legacy companies have provided the much-needed salve. While these firms have been around for years, the recent surge in investor interest has been because of factors like rising commodity prices, geopolitical uncertainty or their smart moves. Their revenue growth has been steady, and profitability has been on expected lines. And in these uncertain times, this predictable story has found favour with investors too. Those leading the surge include Hindalco Industries, Vedanta, Coal India and L&T, and most have improved their ranks on the BT500 list this year.

So what did these old-economy companies do right? As fears of a recession loom large over most big economies globally, businesses have been under pressure to reorient their models. Take the case of metals and mining major Vedanta, No. 42 on the BT500 list. According to CFO Ajay Goel, its continued focus on disciplined allocation of capital, effective strategic business planning, driving key capex/

growth projects and ESG commitment has helped it create value for stakeholders. "Our return on capital employed has significantly improved from 11 per cent in FY20 to 30 per cent in FY22, while free cash flow has increased three-fold. We were also the highest dividend-paying company last fiscal in India," he says. All this has been helped by its record production volumes for aluminium and zinc across all markets.

In the case of metals major Hindalco (No. 49 on the BT500 list), Managing Director Satish Pai says the strategy of vertical integration coupled with operational efficiency and cost optimisation has made the difference. "Our overseas subsidiary Novelis's focus on organic growth, enriched product mix and operational excellence has also worked well. Besides, our focus on deleveraging and creating a more sustainable business model has helped strengthen our balance sheet," he explains. In the process, the company's return on capital employed has improved significantly from 8.8 per cent in FY20 to 16.61 per cent in FY22. "Our consolidated net debt to Ebitda was at 3.52x post the Aleris acquisition (completed in April 2020 for \$2.8 billion) and it is currently at a strong 1.47x (as on September 30, 2022). This gives us enough headroom to fuel the next phase of organic growth."

What has also helped is the spurt in commodity prices globally. According to Rakesh Arora, Managing Partner of investor relations firm Go India Advisors, both Vedanta and Hindalco utilised this upturn in prices to reduce their debt. "None of the companies have announced very large capex and are, therefore, being conservative with their balance sheets. Clearly, the market has rewarded this improvement in balance sheet," says Arora. Both firms saw a surge in their average market capitalisations for the BT study period (October 2021-September 2022).

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